



Overview of Earnings for 3Q FY2015

Japan Exchange Group, Inc.

January 29, 2016

I. Overview of Earnings for 3Q FY2015

(April 1 – December 31, 2015)

* This document is not subject to the audit procedures required under the Financial Instruments and Exchange Act. Please note that its contents have not been audited on a consolidated basis in accordance with the Act as of the time of disclosure.



Highlights and FY2015 Forecast

- Net income rose 32.6% on the back of an increase in cash equities and derivatives trading and reduced operating expenses due to effective cost-cutting measures.

(JPY mil.)

	3Q (April – December)				Full-year (April – March)		
	3Q FY2014* ¹	3Q FY2015			FY2014	FY2015 (Forecast)	
			y/y	FY2015 %		(Revised on Sep. 24)	y/y
Operating Revenue	78,900	85,284	+ 8.1%	79.0%	106,167	108,000	+ 1.7%
Operating Expenses	39,842	36,103	(9.4%)	69.4%	52,863	52,000	(1.6%)
Operating Income	40,132	51,745	+ 28.9%	91.6%	53,529	56,500	+ 5.5%
Net Income* ²	26,780	35,504	+ 32.6%	92.2%	34,427	38,500	+ 11.8%
EBITDA	50,137	59,738			65,743	-	-
Dividend per share* ³	-	-			25.0 yen	42.0 yen	-

*1 IFRS was adopted from the full-year earnings results for FY2014. 3Q FY2014 figures are based on IFRS.

*2 Net income attributable to owners of the parent company.

*3 Total of 2Q-end and year-end figures. Dividend forecast considers the 2-for-1 stock split conducted with an effective date of October 1, 2015.

➤ Average Daily Trading Volume/Value of Major Products

	3Q FY2014 (Apr.- Dec.)	3Q FY2015 (Apr.- Dec.)		FY2014	FY2015 (Assumptions for forecasts)	
			y/y		(Revised on Sep. 24)	y/y
Cash Equities (trading value) * ¹	JPY 2,727.1 bil.	JPY 3,383.0 bil.	+ 24%	JPY 2,856.4 bil	JPY 3,000.0 bil.	+ 5%
TOPIX Futures (trading volume)	82,219 contracts	90,976 contracts	+ 11%	84,785 contracts	100,000 contracts	+ 18%
Nikkei 225 Futures (trading volume) * ²	180,836 contracts	218,123 contracts	+ 21%	186,565 contracts	223,000 contracts	+ 20%
Nikkei 225 Options (trading value) * ³	JPY 27.7 bil.	JPY 27.2 bil.	(2%)	JPY 27.8 bil.	JPY 27.0 bil.	(3%)
10-year JGB Futures (trading volume)	35,888 contracts	34,313 contracts	(4%)	36,745 contracts	39,000 contracts	+ 6%

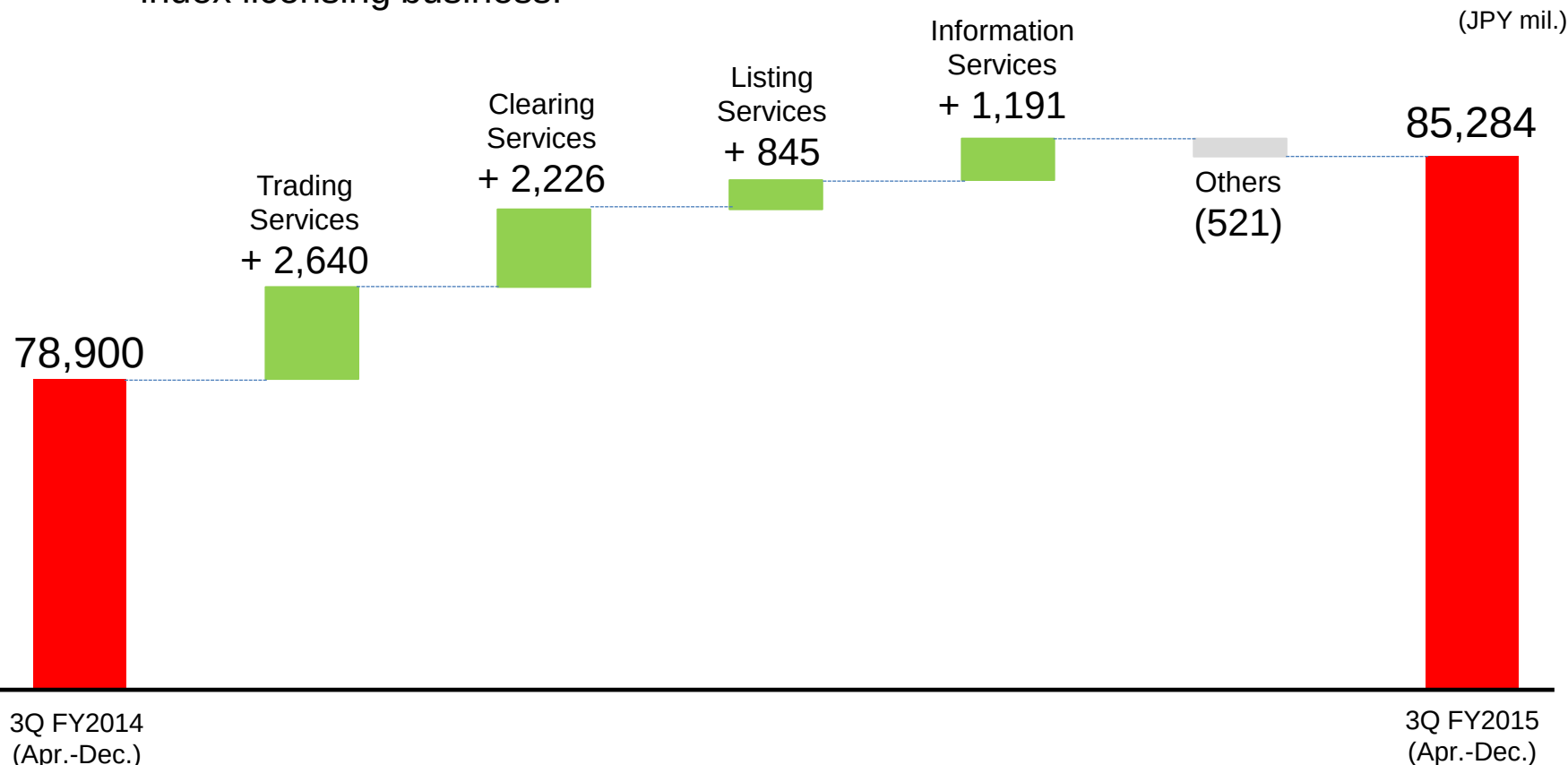
*1 Total value of daily averages of auction and off-auction trading of common stocks on 1st/2nd Sections, Mothers, JASDAQ, TOKYO PRO Market, and ETFs/ETNs, REITs etc.

*2 Contracts of Nikkei 225 mini are calculated using a factor of 1/10.

*3 Excluding Weekly Options

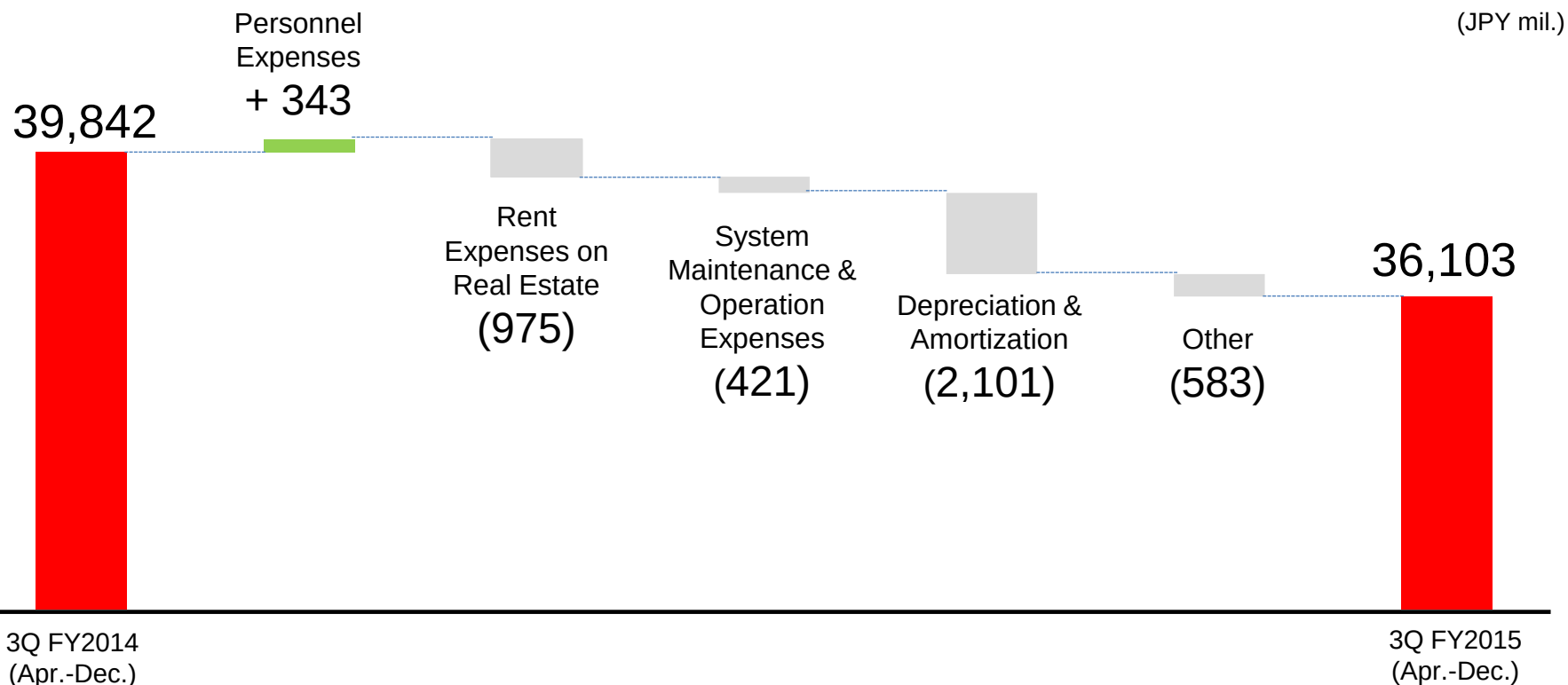
Operating Revenue

- Trading and clearing services revenues grew due to increased cash equities and derivatives trading.
- Listing services revenue also grew due to an increase in annual listing fees from listed companies and ETFs.
- Information services revenue growth was boosted by increased income from index licensing business.



Operating Expenses

- Rent expenses on real estate decreased due to lower rent for the TSE building.
- Depreciation and amortization decreased sharply with the end of depreciation of the initial investment in the previous arrowhead cash equities trading system in December 2014. Depreciation for new arrowhead, launched in September 2015, has begun.



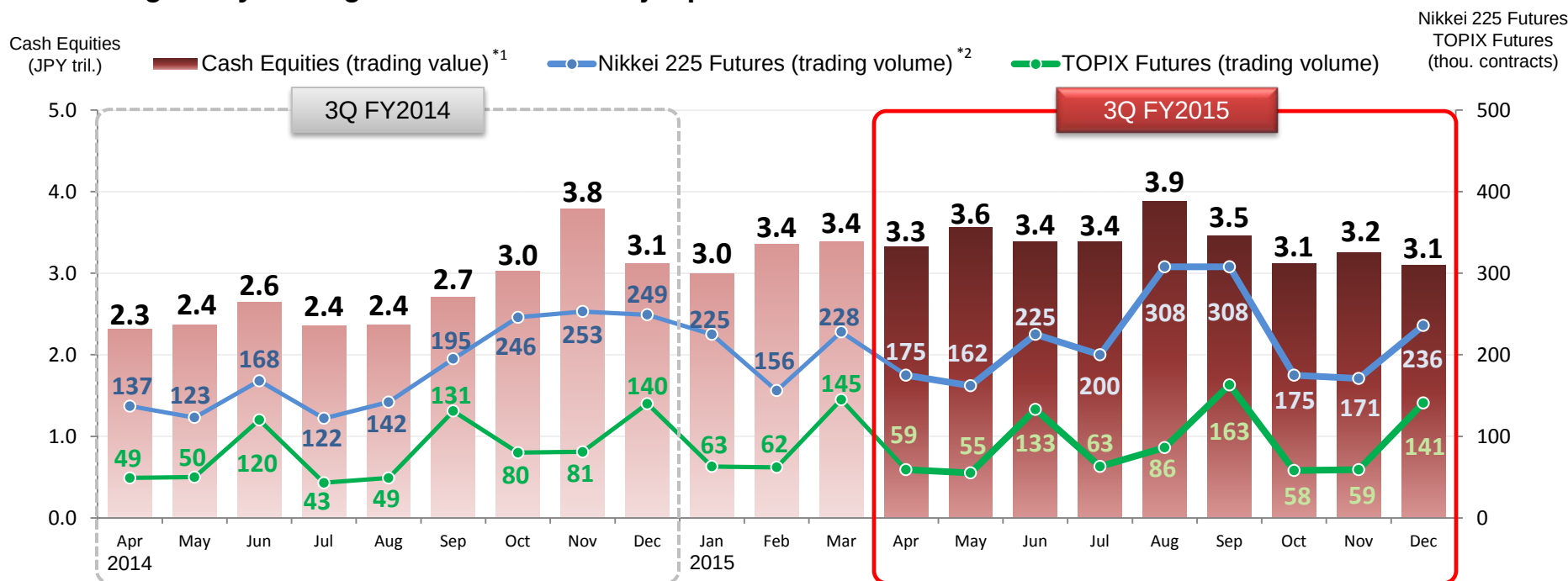
II. Business Developments



Market Trend

- Average daily trading value for cash equities increased by 24% from the previous year to reach 3.3 tril. yen, which exceeds the 3 tril. yen assumption used in the forecast.
- Derivatives trading volumes were strong overall with Nikkei 225 Futures and TOPIX Futures rising by 21% and 11% respectively from the previous year, despite marginal dips for Nikkei 225 Options and 10-year JGB Futures.

➤ Average daily trading volume/value of major products



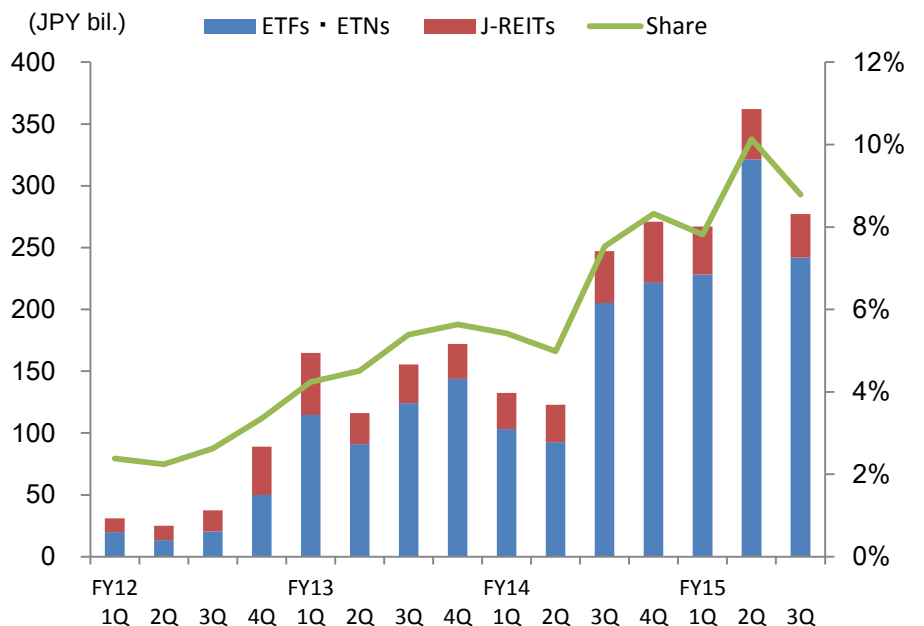
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*2 Contracts of Nikkei 225 mini are calculated using a factor of 1/10.

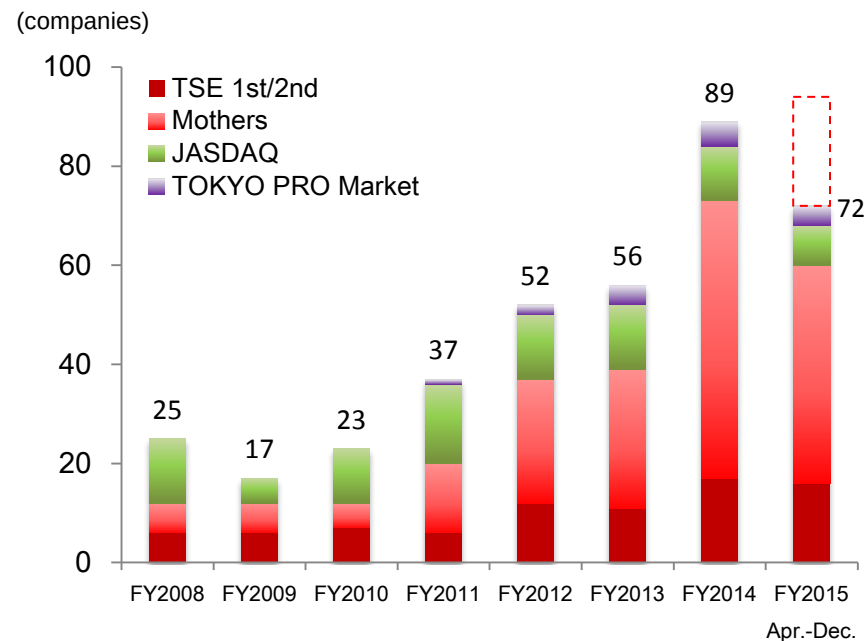
Cash Equities

- The combined trading value for ETFs/ETNs and REITs stayed strong, and annual (Jan.-Dec.) trading value reached a record high.
- IPOs recorded a year-on-year increase from 66 to 72, surpassing last year's pace of growth.

➤ ADV of ETFs/ETNs and REITs



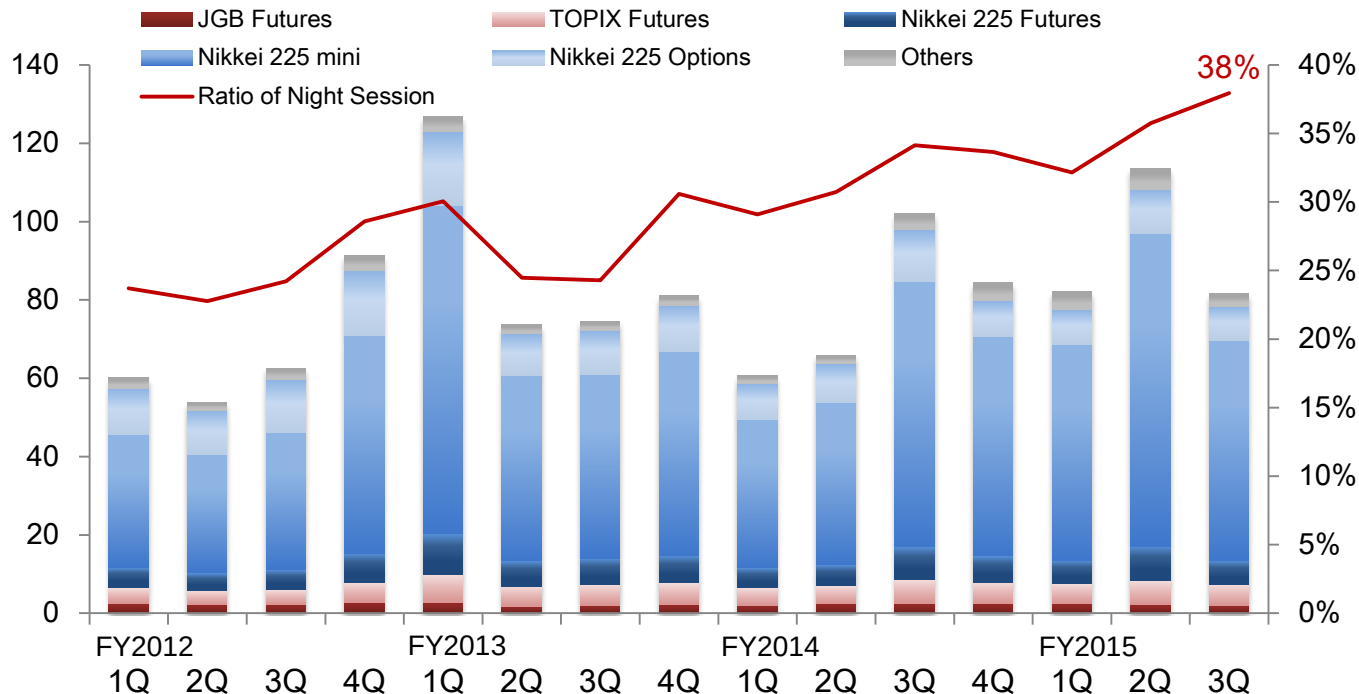
➤ IPOs on JPX markets



- Trading volume in the night session reached a record of 38% of overall market volume.
- Annual (Jan.–Dec.) trading volume for Nikkei 225 mini also reached a record high.

➤ Derivatives Trading Volume and Ratio of Night Session

(mil. contracts)



【Reference】 New rules and products in Next J-GATE (planned)

➤ Extension of trading hours

■ Day Session

Move up the start of the Day Session for index futures from 9:00 am **to 8:45 am**

■ Night Session

Extend the Night Session for major products by moving down the close from 3:00 am **to 5:30 am**

➤ Expansion of product lineup

Japanese Equities

<Index>

- Nikkei 225 Futures
- Nikkei 225 mini
- Nikkei 225 Options
- Nikkei 225 Weekly Options
- TOPIX Futures
- mini-TOPIX Futures
- Nikkei 225 VI Futures
- JPX-Nikkei 400 Futures
- **JPX-Nikkei 400 Options**
- **TSE Mothers Index Futures**

<Stock>

- Securities Options

Foreign Equities

- U.S. stocks: DJIA Futures
- Indian stocks: CNX Nifty Futures
- **Taiwanese stocks: TAIEX Futures**
- **Chinese stocks: FTSE China 50 Index Futures**

Bonds

- 10-year JGB Futures
- Options on 10-year JGB Futures
- 20-year JGB Futures

3rd Quarter Developments (Oct.-Dec.)

- Listed companies embrace new Corporate Governance Code
 - As of the end of 2015, 2,485 companies have released corporate governance reports that cover their response to Japan's Corporate Governance Code.
 - 52.9% of 1st Section companies appoint at least 2 independent outside directors.

- Facilitating foreign take-up of OTC derivatives clearing services
 - On Oct. 26, Japan Securities Clearing Corporation (JSCC) was exempted from registering as a Derivatives Clearing Organization (DCO) by the US Commodity Futures Trading Commission. This allows JSCC to provide clearing services to U.S. clearing participants without DCO registration or renewing time-limited no-action letters.
 - JSCC was recognized as a Third Country CCP by ESMA in April 2015 and designated as a Prescribed CCP under Australian OTC derivatives regulations in September 2015 .

- Cooperation with Asian exchanges
 - On Nov. 6, TOPIX ETFs were listed on Taiwan Stock Exchange.
 - On Dec. 21, NTD-denominated TOPIX futures were launched on Taiwan Futures Exchange.
 - On Dec. 9, Yangon Stock Exchange, partly owned by JPX, officially launched in Myanmar.



JPX Stock Price

JPX Stock Price (JPY)

Nikkei 225 (JPY 10)

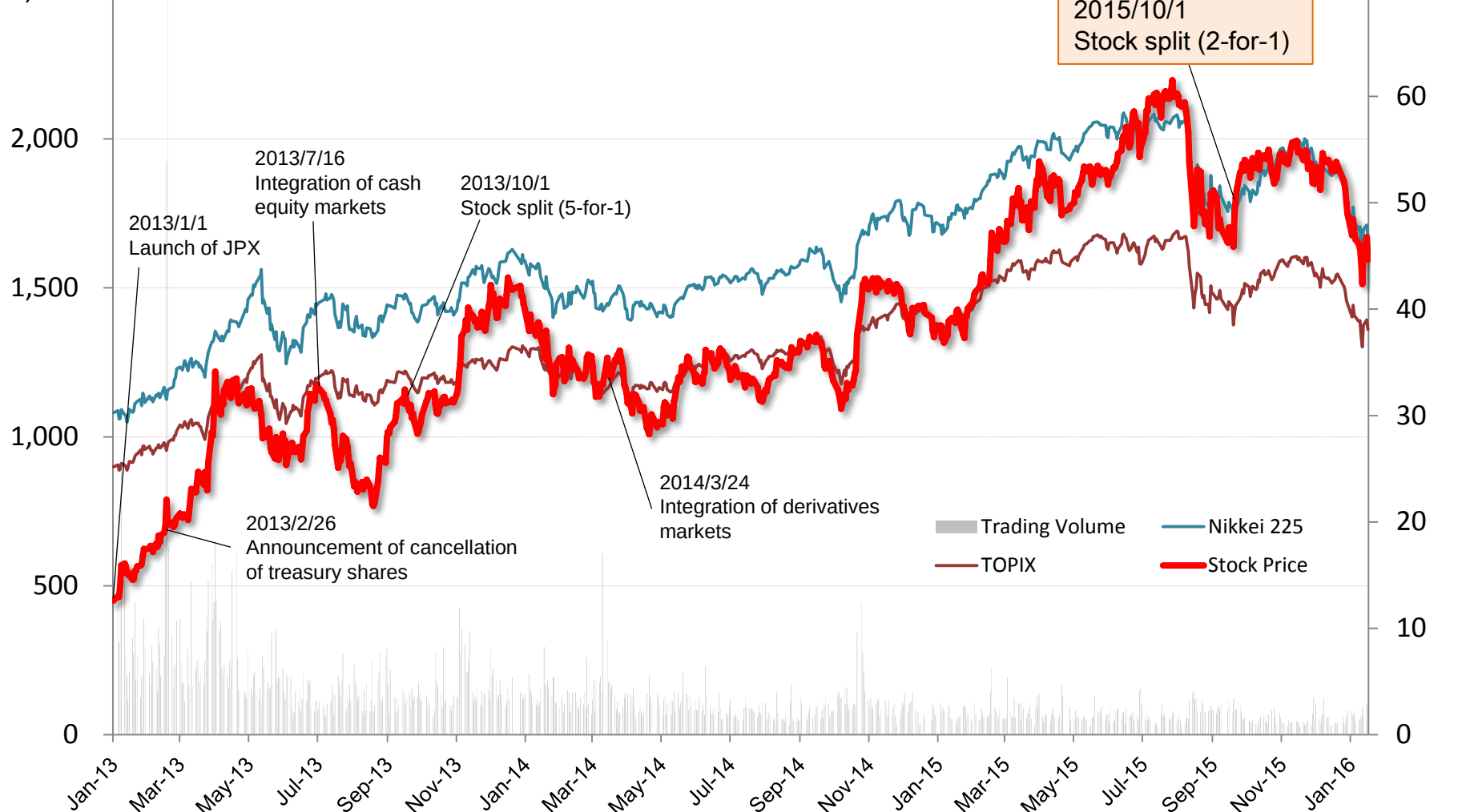
TOPIX (points)

2,500

Trading Volume

(mil. shares)

70



Listed on both the TSE1st Section and JASDAQ from January 1 to July 15, 2013. Prices above are prices on the TSE1st Section. Trading volumes above are the total of those on TSE1st Section and JASDAQ. Two stock splits were conducted separately with respective effective dates of October 1, 2013 and October 1, 2015. Stock prices before said stock splits were converted to reflect both events.

III. Reference Material



Referential Financial Data

➤ Quarterly Business Performance (IFRS*1)

(JPY mil.)

	FY2014				FY2015		
	1Q (Apr. 1, 2014- Jun. 30, 2014)	2Q (Jul. 1, 2014- Sep. 30, 2014)	3Q (Oct. 1, 2014- Dec. 31, 2014)	4Q (Jan. 1, 2015- Mar. 31, 2015)	1Q (Apr. 1, 2015- Jun. 30, 2015)	2Q (Jul. 1, 2015- Sep. 30, 2015)	3Q (Oct. 1, 2015- Dec. 31, 2015)
Operating Revenue	24,826	25,017	29,057	27,266	27,802	30,149	27,331
Operating Expenses	13,083	13,114	13,644	13,021	11,498	11,803	12,801
Operating Income	12,157	12,269	15,704	13,397	16,737	18,558	16,450
Net Income *2	7,921	8,370	10,488	7,647	10,773	13,106	11,624
EBITDA	14,997	15,916	19,223	15,606	18,878	21,393	19,467

*1 IFRS was adopted from the full-year earnings results for FY2014. Quarterly figures for FY2014 are also based on IFRS.

*2 Net income attributable to owners of the parent company.

Referential Financial Data

➤ Operating Revenue (IFRS*1)

(JPY mil.)

	FY2014				FY2015				
	1Q (Apr.1, 2014- Jun. 30, 2014)	2Q (Jul.1, 2014- Sep.30, 2014)	3Q (Oct. 1, 2014- Dec. 31, 2014)	4Q (Jan.1, 2015- Mar.31, 2015)	1Q (Apr.1, 2015- Jun. 30, 2015)	2Q (Jul.1, 2015- Sep.30, 2015)	3Q (Oct.1, 2015- Dec. 31, 2015)		
	Amount	Amount	Amount	Amount	Amount	Amount	Amount	Ratio	y/y
Trading services revenue	11,140	11,517	13,475	12,564	12,912	14,045	11,816	43%	(12%)
Transaction Fees	9,092	9,452	11,323	10,352	10,684	11,749	9,551		(16%)
Cash Equities	6,753	6,866	7,583	7,502	7,985	8,117	6,986	73%*2	(8%)
Derivatives	2,339	2,585	3,739	2,849	2,699	3,631	2,565	27%*2	(31%)
TOPIX Futures	396	412	539	468	441	529	441		(18%)
Nikkei 225 Futures (incl. mini)	856	966	1,456	1,102	1,069	1,526	1,056		(27%)
Nikkei 225 Options *3	685	725	1,217	746	661	1,099	648		(47%)
10-year JGB Futures	355	428	449	446	437	388	359		(20%)
Others	45	53	77	85	88	86	59		(24%)
Basic Fees	268	267	266	265	266	265	264		(1%)
Access Fees	1,147	1,144	1,218	1,219	1,231	1,306	1,250		+ 3%
Trading System Facilities Usage Fees	615	637	642	705	709	700	725		+ 13%
Others	16	16	24	21	21	24	23		(7%)
Clearing services revenue	4,462	4,506	5,962	5,161	5,643	6,028	5,486	20%	(8%)
Listing services revenue	2,875	3,045	3,284	3,043	2,900	3,572	3,578	13%	+ 9%
Initial/Additional Listing Fees	1,060	1,196	1,385	1,120	985	1,632	1,567		+ 13%
Annual Listing Fees	1,814	1,849	1,899	1,923	1,914	1,940	2,010		+ 6%
Information services revenue	4,035	3,811	4,153	4,310	4,358	4,421	4,412	16%	+ 6%
Other operating revenue	2,311	2,135	2,181	2,186	1,988	2,080	2,038	7%	(7%)
arrownet Usage Fees*4	689	660	598	602	555	591	568		(5%)
Co-location Usage Fees	622	646	660	683	689	721	712		+ 8%
Others*5	999	827	922	900	743	767	757		(18%)
Total	24,826	25,017	29,057	27,266	27,802	30,149	27,331	100%	(6%)

*1 IFRS was adopted from the full-year earnings results for FY2014. Quarterly figures for FY2014 are also based on IFRS.

*2 Figures are indicate percentage of Transaction Fees.

*3 Excluding Weekly Options.

*4 arrownet Usage Fees for 1Q and 2Q FY2014 include usage fees for OSE's GATENET, which was integrated with arrownet.

*5 Including Proximity Usage Fees.

Referential Financial Data

➤ Operating Expenses (IFRS*)

(JPY mil.)

	FY2014				FY2015		
	1Q (Apr. 1, 2014- Jun. 30, 2014)	2Q (Jul. 1, 2014- Sep. 30, 2014)	3Q (Oct. 1, 2014- Dec. 31, 2014)	4Q (Jan. 1, 2015- Mar. 31, 2015)	1Q (Apr. 1, 2015- Jun. 30, 2015)	2Q (Jul. 1, 2015- Sep. 30, 2015)	3Q (Oct. 1, 2015- Dec. 31, 2015)
Personnel expenses	3,702	3,639	3,692	4,230	3,785	3,734	3,858
System maintenance & operation expenses	2,584	2,443	2,470	2,447	2,330	2,392	2,353
Depreciation & amortization	2,637	2,898	3,299	1,968	1,904	2,075	2,754
Rent expenses on real estates	1,488	1,498	1,484	1,488	1,174	1,174	1,147
Other	2,669	2,634	2,697	2,886	2,304	2,426	2,688
Total	13,083	13,114	13,644	13,021	11,498	11,803	12,801

* IFRS was adopted from the full-year earnings results for FY2014. Quarterly figures for FY2014 are also based on IFRS.

Referential Financial Data

➤ Consolidated Statement of Financial Position (IFRS)

(JPY mil.)

	As of Mar. 31,2015	As of Dec. 31,2015
Assets		
Current assets		
Cash and cash equivalents	60,114	60,310
Trade and other receivables	10,300	12,551
*1 Clearing business financial assets	25,635,085	22,616,773
*2 Specified assets for deposits from clearing participants	1,795,095	2,089,127
*3 Specified assets for legal guarantee funds	492	489
Income tax receivables	4,693	5,268
Other financial assets	42,869	51,700
Other current assets	1,844	1,216
Total current assets	27,550,495	24,837,436
Non-current assets		
Property and equipment	8,573	6,850
Goodwill	67,374	67,374
Intangible assets	27,631	30,981
Retirement benefit assets	5,424	5,431
Investments accounted for using the equity method	6,806	7,738
*5 Specified assets for default compensation reserve funds	27,948	27,948
Other financial assets	39,682	38,340
Other non-current assets	5,605	6,129
Deferred tax assets	7,230	2,629
Total non-current assets	196,276	193,424
Total assets	27,746,771	25,030,860

	As of Mar. 31,2015	As of Dec. 31,2015
Liabilities and equity		
Liabilities		
Current liabilities		
Trade and other payables	4,712	3,165
Loans payable	32,500	32,500
*1 Clearing business financial liabilities	25,635,085	22,616,773
*2 Deposits from clearing participants	1,795,095	2,089,127
*3 Legal guarantee funds	492	489
*4 Trading participant security money	7,437	7,431
Income tax payables	7,852	3,878
Other current liabilities	5,626	6,023
Total current liabilities	27,488,802	24,759,388
Non-current liabilities		
Retirement benefit liabilities	7,039	7,261
Other non-current liabilities	2,488	3,347
Deferred tax liabilities	6,875	5,886
Total non-current liabilities	16,403	16,495
Total liabilities	27,505,206	24,775,884
Equity		
Share capital	11,500	11,500
Capital surplus	59,726	59,726
Treasury shares	(5)	(9)
Other components of equity	14,828	12,782
*6 Retained earnings	149,562	164,750
Total equity attributable to owners of the parent company	235,611	248,750
Non-controlling interests	5,954	6,226
Total equity	241,565	254,976
Total liabilities and equity	27,746,771	25,030,860

*1 Japan Securities Clearing Corporation (JSCC) guarantees settlement as a clearinghouse for financial instruments transactions by assuming obligations for trades by market participants to become the counterparty for such trades, posting claims and obligations for cleared trades under clearing business financial assets and liabilities.

*2 Deposits from clearing participants requested by JSCC for covering the risk of clearing participants defaulting on their obligations.

*3 Deposits from trading participants requested by Tokyo Stock Exchange (TSE) and Osaka Exchange (OSE) for covering the risk at entrusting parties, etc. of trading participants defaulting on their obligations.

*4 Deposits from trading participants requested by TSE and OSE for covering the risk of trading participants defaulting on their obligations.

*5 Reserve funds for compensating losses incurred by JSCC in clearing operations.

*6 Including reserve funds for compensating losses incurred by JSCC in clearing operations.

Major Product Data

➤ Trading Volume/Value

	FY2014				FY2015		
	1Q (Apr. 1, 2014- Jun. 30, 2014)	2Q (Jul. 1, 2014- Sep. 30, 2014)	3Q (Oct. 1, 2014- Dec. 31, 2014)	4Q (Jan. 1, 2015- Mar. 31, 2015)	1Q (Apr. 1, 2015- Jun. 30, 2015)	2Q (Jul. 1, 2015- Sep. 30, 2015)	3Q (Oct. 1, 2015- Dec. 30, 2015)
Trading Value of Cash Equities (JPY mil.)							
TSE 1st/2nd Section * ¹	128,665,627	132,276,215	171,078,880	168,409,808	180,820,436	189,247,280	166,310,629
Mothers * ¹	8,173,604	9,120,144	9,460,573	5,927,163	5,894,082	5,487,907	5,757,308
JASDAQ * ¹	6,429,667	6,352,007	4,653,689	4,827,723	5,409,453	4,458,234	3,432,110
ETFs/ETNs and REITs etc. * ²	8,205,419	7,749,624	15,082,345	16,264,620	16,299,502	22,455,832	16,903,303
Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options)							
TOPIX Futures	4,540,465	4,596,852	6,155,327	5,564,453	5,152,726	6,284,469	5,302,308
Total Nikkei 225 Futures/mini * ³	8,889,164	9,562,272	15,184,014	12,259,555	11,551,509	16,714,992	11,868,112
Nikkei 225 Futures	5,111,644	5,422,599	8,402,820	6,656,040	6,041,354	8,736,954	6,243,886
Nikkei 225 mini	37,775,200	41,396,736	67,811,949	56,035,157	55,101,557	79,780,382	56,242,263
Nikkei 225 Options (JPY mil.) * ⁴	1,414,182	1,345,023	2,397,712	1,693,811	1,471,850	2,137,320	1,404,173
10-year JGB Futures	1,924,624	2,329,798	2,420,837	2,363,988	2,323,310	2,070,202	1,920,076

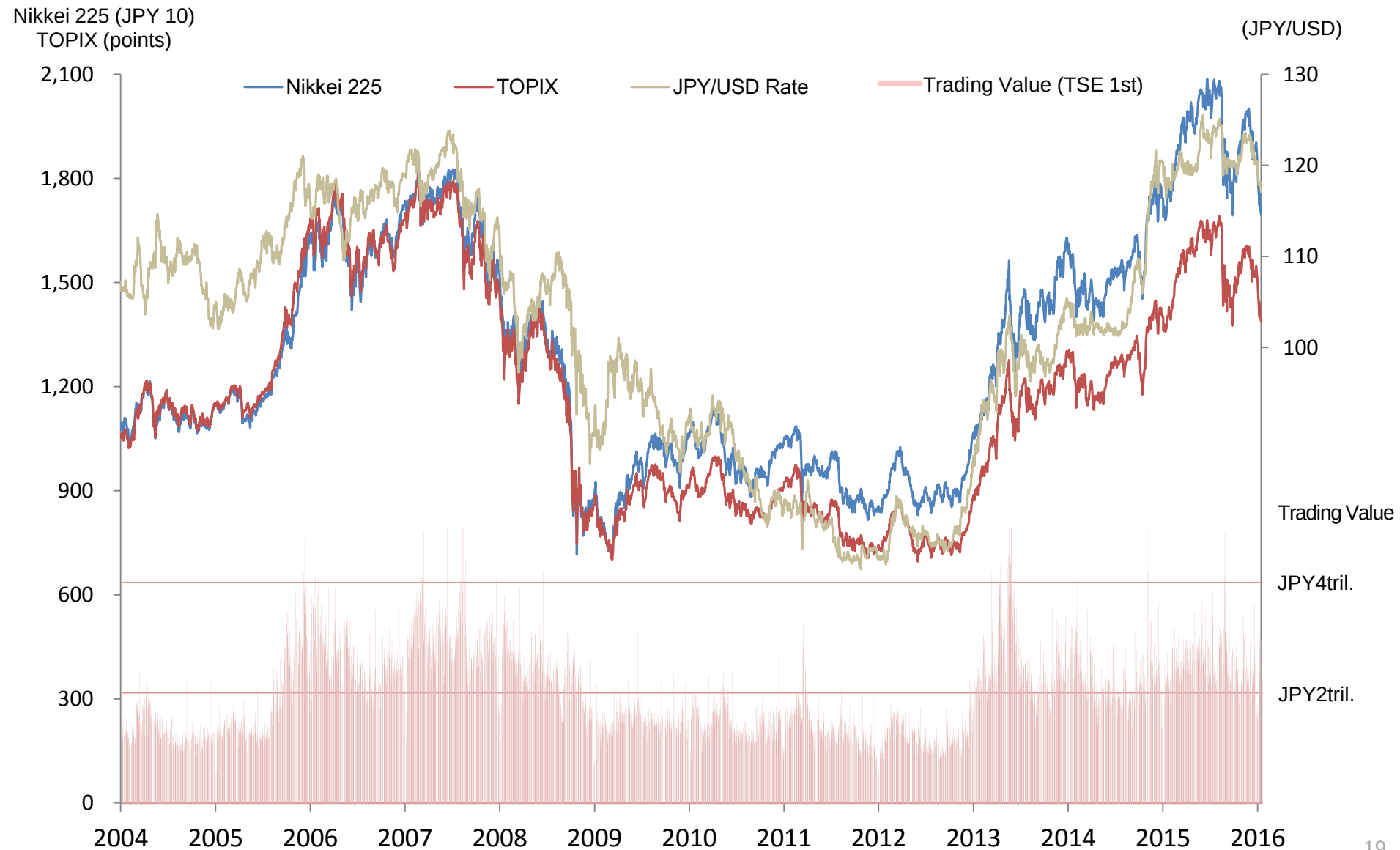
➤ Average Daily Trading Volume/Value

	FY2014				FY2015		
	1Q (Apr. 1, 2014- Jun. 30, 2014)	2Q (Jul. 1, 2014- Sep. 30, 2014)	3Q (Oct. 1, 2014- Dec. 31, 2014)	4Q (Jan. 1, 2015- Mar. 31, 2015)	1Q (Apr. 1, 2015- Jun. 30, 2015)	2Q (Jul. 1, 2015- Sep. 30, 2015)	3Q (Oct. 1, 2015- Dec. 30, 2015)
Trading Value of Cash Equities (JPY mil.) * ⁵	2,443,134	2,468,222	3,283,205	3,257,155	3,416,778	3,575,030	3,154,153
Derivatives Trading Volume (contracts) (Trading Value for Nikkei 225 Options)							
TOPIX Futures	73,233	72,966	100,907	92,741	84,471	101,362	86,923
Total Nikkei 225 Futures/mini * ³	143,374	151,782	248,918	204,326	189,369	269,597	194,559
Nikkei 225 Futures	82,446	86,073	137,751	110,934	99,039	140,919	102,359
Nikkei 225 mini	609,277	657,091	1,111,671	933,919	903,304	1,286,780	922,004
Nikkei 225 Options (JPY mil.) * ⁴	22,809	21,350	39,307	28,230	24,129	34,473	23,019
10-year JGB Futures	31,042	36,981	39,686	39,400	38,087	33,390	31,477

*1 Value of auction and off-auction trading of common stocks. *2 Total value of auction and off-auction trading. *3 Contracts of Nikkei 225 mini are calculated using a factor of 1/10.

*4 Excluding Weekly Options. *5 Total value of daily averages of auction and off-auction trading of common stocks on 1st/2nd Sections, Mothers, JASDAQ, TOKYO PRO Market, and ETFs/ETNs, REITs etc.

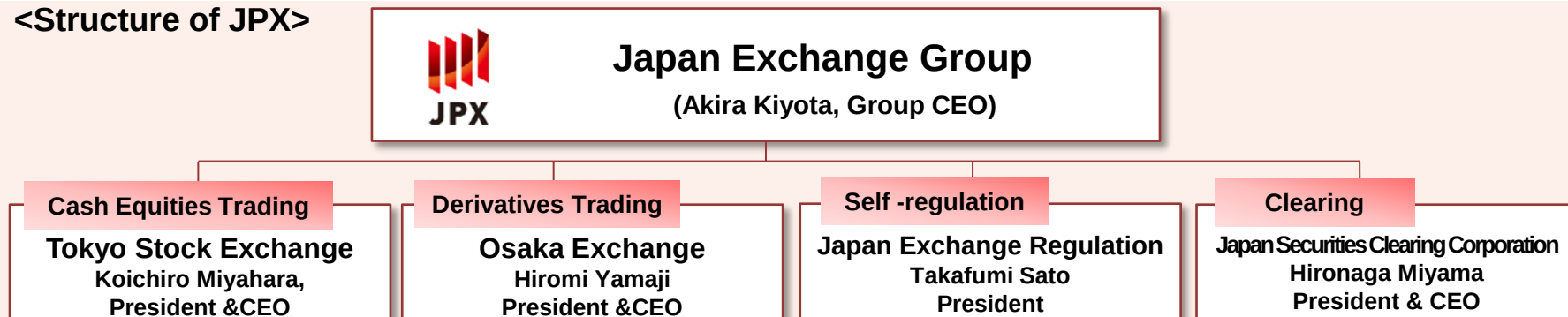
Japanese Stock Market



Outline of JPX Stock

Stock Code	8697
Listed Exchange	Tokyo Stock Exchange 1 st Section
Fiscal Year End	March 31
Annual General Shareholders Meeting	June
Record Date	Annual general shareholders meeting: March 31 Year-end dividend: March 31 Interim dividend: September 30
Number of Shares in One Trading Unit	100 shares
Total number of shares issued	549,069,100 shares
Basic Policy on Profit Distribution	JPX adopts a dividend policy with a target payout ratio of about 60% tied to business performance while giving due consideration to the importance of internal reserves for the following purposes: • Maintaining sound financial health as a financial instruments exchange group, • Preparing for risks as a clearing organization, and • Enabling the group to pursue investment opportunities to raise the competitiveness of its markets as they arise.

<Structure of JPX>



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These materials contain forward-looking statements. These statements are based on our assumptions and beliefs in light of the information currently available to us and are subject to risks and uncertainties. Should one or more of these risks or uncertainties materialize, or should underlying assumptions prove incorrect, our actual results may vary materially from those we currently anticipate. Given these risks and uncertainties, you are cautioned not to place undue reliance on forward-looking statements, which speak only as of the date of these materials. We disclaim any obligation to update any of the forward-looking statements contained in these materials to reflect future actual events or developments.